

# INDIA'S LABOUR FORCE

- The Codes aim to help move workers from informal to formal employment
- This will provide them more benefits including better wages and social security

## A SNAPSHOT OF INDIA'S WORKING POPULATION



**643.3  
MILLION**

NO OF EMPLOYED  
PERSONS IN  
2023-24



**90%**

WORKFORCE  
ESTIMATED TO  
BE EMPLOYED  
INFORMALLY



**41.7%**

FEMALE  
LABOUR FORCE  
PARTICIPATION  
RATE IN 2023-24



**10  
MILLION**

ESTIMATED NUMBER  
OF GIG WORKERS IN  
INDIA IN 2024-25

22 |

port sectors and micro, small and medium enterprises. This has raised worries of a possible slowdown of economic growth.

In fact, the current push for the Codes must be seen as part of a series of measures the Centre has announced over the past few months, like the rationalisation of the GST, the introduction of the Export Promotion Scheme along with relief measures for exporters that together aim to offset the impact of the US tariffs.

### THE FINE PRINT

The four Codes aim to cut down compliances and streamline laws, making the regulatory environment more employer-friendly, while ensuring that more benefits accrue to workers through provisions for universal social security, providing fixed-term employment, enabling women to work in night shifts and recognising gig and platform workers. Inspectors have been replaced with inspector-cum-facilitators.

Former Labour Secretary Arti Ahuja, who worked extensively on the Codes, noted that they will cut down on compliances for employers since many forms have been merged and quite a few rules have either been done away with or simplified. The definition of wages has become consistent across the four Codes.

Rishi Agrawal, Co-Founder and CEO of TeamLease RegTech, says the Codes reduce the compliance burden by collapsing a multi-regulator, multiple laws system into a unified, digital and standardised framework.

## THE PUSH FOR THE CODES MUST BE SEEN AS PART OF A SERIES OF MEASURES THAT AIM TO OFFSET THE IMPACT OF THE US TARIFFS

“The simplification is visible in forms, registers, definitions, registrations, inspections, penalties, and applicability thresholds,” he explains, adding that there has been a 75% reduction in the procedural burden as rules have been reduced to 351 from 1,436 earlier. The forms have also been reduced from 181 to 73 and registers from 84 to just eight.

Agrawal adds that employers had to earlier maintain separate registrations under different labour Acts. For instance, a manufacturing unit with contract labour, apprentices, and permanent workers needed to register under as many as six different laws. “The new Codes introduce a ‘Single Registration, Single License, Single Return’ framework,” he elaborates.

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